



THE SUBSIDY ISSUE

The PM E-DRIVE scheme does not offer subsidies for passenger vehicles and e-taxis. Will customers take the bait of low GST?

► **Do subsidies help the adoption of EVs?**

The consensus across the world, including in India, is yes. However, the PM E-DRIVE scheme, announced in September, does not offer subsidies for electric passenger vehicles, as the

government feels the lower GST on EVs should do the trick. The earlier scheme, called FAME or Faster Adoption for Manufacturing of Hybrids and Electric Vehicles, which ended in March this year, offered buyers a subsidy. Automakers say

any switchover to EVs needs better policy support. For instance, Tata Motors, which gets 20% of its sales from the fleet segment, reported a substantial reduction in fleet sales in the first quarter of FY25 after the FAME subsidy ended.

Shailesh Chandra, MD of Tata Motors Passenger Vehicles and Tata Motors Passenger Electric Mobility, says the expiry of the subsidy impacted the fleet segment. "It was helping fleet owners, considering CNG vehicles, shift towards electric vehicles. And with that additional benefit one was getting, I think to some extent, that market may get impacted," he says, adding that it impacted Tata Motors because its products qualify for the subsidy.

Analysts say the lack of subsidies will hit EV adoption in the passenger vehicles (PV)

and fleet segments. "Without subsidies, particularly in PV, the high upfront cost of EVs may deter mass adoption. The FAME II scheme was focussed on commercial EVs and two-wheelers, leaving passenger cars with minimal support," says Harshvardhan Sharma, Head-Auto & Retail at Nomura Research Institute.

In China, EV sales surged to nearly 6 million units in 2022, driven by subsidies of up to 18,000 yuan a car, while in the US, tax credits of up to \$7,500 have made EVs more affordable, says Sharma. "Europe has implemented a mix of subsidies and stringent emission regulations, pushing automakers to electrify their lineups."

Will lower GST attract customers to EVs? Automakers are certainly praying for that.

—**Astha Oriel**

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penetration through multiple product launches, focus on market development, charging network enhancements and introduction of aspiration product features.

Will this strategy help? The Chairman does not look at any particular market share. "We aim to give the widest range of choices. We have today five-six products, including one in the fleet segment and we intend to have 10 products so that we cover price points right from say \$8,500 going up to \$50,000," he said at the AGM.

Analysts such as Nomura's Sharma say Tata Motors must watch out for market leader Maruti Suzuki's late entry into EVs. Tata Motors has dominated the segment by offering EVs at affordable prices (the Nexon.ev starts at ₹15 lakh).

But what if Maruti launches EVs in the ₹10-12 lakh

range? Sharma says Tata is working on extending its EV lineup with premium models, and its investments in the Gujarat battery plant with LG Chem could help it maintain cost advantages.

According to Sharma, Tata Harrier.ev and Sierra.ev, which will be launched next year, in the premium-segment will address competitors like Hyundai and Mahindra. "This focus on building a portfolio across price points will be critical for defending its market share as new entrants disrupt the segment," says Sharma.

JSW MG'S ROAD MAP

MG Motor India, which was owned by China's state-backed auto major SAIC Motor, got into some turbu-